IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/15 (CHE)/2023
in
CA(CAA)/6 (CHE)/2023

(Under Sections 230 to 232 of the Companies Act, 2013)

In the matter of the *Scheme of Arrangement (Demerger)*

K.H.FOUNDATION,
A Company incorporated under the Companies Act. 1956,
having its Registered Office at
KH Centre, 15/2, College Road,
Nungambakkam, Chennai – 600 006.

... Petitioner No.1 / Demerged Company

K.H. EDUCATIONAL FOUNDATION,
A Company incorporated under the Companies Act. 1956,
having its Registered Office at
KH Centre, 15/2, College Road,
Nungambakkam, Chennai – 600 006.

... Petitioner No.2 / Resulting Company

And

Their Respective Shareholders and Creditors

*Order Pronounced on **30th June 2023***

CORAM

SANJIV JAIN, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

Present: -
For Petitioner(s) : Mr.A.M.Ilango,Advocate , Advocate
For Regional Director : Mr.Avinash Krishnan Ravi, Advocate
For Official Liquidator : Mr.B.Palani, Estate Assistant

ORDER

(Hearing conducted through VC)

Per: SAMEER KAKAR, MEMBER (TECHNICAL)

This Joint Company Petition has been filed by **K.H.FOUNDATION** (for brevity "Demerged Company") and **K.H.**

EDUCATIONAL FOUNDATION (for brevity "Resulting Company") under section 230-232 of the Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for the approval of the Scheme of Arrangement (Demerger) (hereinafter referred to as the 'SCHEME'). The said Scheme is placed at **Annexure-14** in the Petition.

2. Affidavits in support of the present petition sworn by **Mr.Malack Abdul Wahab** on behalf of the **Petitioner Companies** in the capacity of Authorised Signatory and the corresponding Board Resolutions dated 28.01.2023, have been placed on record.

3. **1ST MOTION APPLICATION – IN BRIEF**

The Petitioner Companies had filed the First Motion Application vide CA(CAA)/6(CHE)/2023 and sought directions for dispensation for convening the meeting of Equity Shareholders of all Petitioner Companies. There are no Secured Creditors and Unsecured Creditors in the Petitioner Companies. This Tribunal vide order dated 20.03.2023 dispensed with all meetings prayed by the Petitioner Companies. Subsequently, the Petitioner Companies filed the second motion petition on 23.03.20237 for approval of the Scheme, which was within limitation as per provisions of the Companies Act, 2013 and the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

4. **SCHEME SUMMARY:**

The Scheme provides for the Demerger of Demerged Undertaking (Defined in Clause 1.1.7 of the Scheme) into the Resulting Company on a going concern basis.

5. **RATIONALE OF THE SCHEME**

The rationale and benefits of the Scheme are briefed in the Scheme as follows,

> *"a) The Demerger will enable the Demerged Company and the Resulting Company to create the Resulting Company to concentrate on their respective business.*
>
> *b) The Demerger will segregate the Educational undertaking business from the other business of the Demerged Company and would allow focused strategy and specialisation for sustained growth, which would be in the best interest of all the stakeholders.*
>
> *c) Demerger will assist in de-leveraging of the balance sheet of the Demerged Company including reduction of debt as well as creation of value for its shareholders.*
>
> *d) The Demerger would aid in future growth of the business of the Demerged Undertaking by leveraging on the strength and capabilities of the Resulting Company. "*

6. In the second motion Petition filed by the Petitioner Companies, this Tribunal vide order dated 19.04.2023 had directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region),

(ii) RoC, Chennai, (iii) the Income Tax Department, with PAN details of all Petitioner companies and copy to the Chief Principal Commissioner Office and other sectoral regulators as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition).

7. In compliance with the said directions issued by this Tribunal, the Petitioner Companies effected the paper publications in "Business Standard" (All India Edition) in English on 06.05.2023 and "Makkal Kural" (Tamil Nadu Edition) in Tamil on 06.05.2023. Notices have been served to (i) Regional Director, Southern Region, Chennai on 28.04.2023, (ii) Registrar of Companies Chennai on 28.04.2023, (iii) Income Tax Department on 28.04.2023. The proof of the same by way of affidavit of service dated 09.05.2023 has been enclosed with the separate typed set. Pursuant to the service of notice of the petition, the statutory authorities have responded as under:

8. STATUTORY / REGULATORY AUTHORITIES

8.1. REGIONAL DIRECTOR

The Regional Director (RD), Southern Region has filed its report dated 03.05.2023 before this Tribunal on 04.05.2023 and expressed its no objection to the Scheme proposed by the Petitioners.

8.2. INCOME TAX DEPARTMENT:

Despite notice having been served and also public notice dated 06.05.2023, there is no representation from the Department of Income Tax. This Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the approval of the Scheme.

9. ACCOUNTING TREATMENT

The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Demerged Company and Resulting Company are in compliance with Section 133 of the Companies Act, 2013 which are placed at Annexures-22 and 23 of the petition.

10. VALUATION

The report of valuation dated 14.01.2023 prepared by the Registered valuer Mr.Viswanathan Rajagopalan is placed on record wherein the value of net assets of the Petitioner Companies are assessed as follows,

For Demerged Company:

> *"as on date of report, the value of the net assets of K.H. Foundation is Rs.39,68,60,614/- and the recommended value per Equity Share is Rs.79,261.16/-.*

For Resulting Company:

> *"as on date of report, the value of the net assets of K.H. Educational Foundation is Rs.6,21,805/- and the recommended value per Equity Share is Rs.77.73/-.*

11. DECLARATION BY THE PETITIONERS:

It is stated that no investigation is pending against the Petitioner Companies, under the provisions of the Companies Act, 1956 and 2013 and the Scheme is not prejudicial to the interest of the Equity Shareholders, Secured Creditors, Unsecured Secured Creditors of the Petitioner Companies.

12. OBSERVATIONS OF THIS TRIBUNAL

12.1. This Tribunal is of the view that the scheme as contemplated amongst the petitioner companies is *prima facie* not, in any way detrimental to the interest of the members of the Company. In view of the absence of any material objections from any statutory authorities and since all the requisite statutory compliances have been fulfilled, this Tribunal sanctions the Scheme of Amalgamation at **Annexure-14** of the petition as well as the prayer made therein.

12.2. Notwithstanding the above, if there is any deficiency found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the petitioners.

12.3. It is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp

duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

13. THIS TRIBUNAL DO FURTHER ORDER:

(i) That all properties, rights and interests of the Demerged Undertaking shall, pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Resulting Company in terms of the Scheme.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Demerged Undertaking shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Resulting Company in terms of the Scheme.

(iii) That the Appointed date for the Scheme shall be **01.04.2022** as mentioned in clause 1.1.3 of the Scheme.

(iv) The 'Effective Date' shall be the last of the dates on which the certified copies of this order of sanctioning the scheme are filled with ROC Chennai as mentioned in clause 1.1.8 of the Scheme.

(v) That all proceedings now pending by or against the Demerged Company be continued by or against the Resulting Company in terms of the scheme.

(vi) That all the employees/workmen of the Demerged Company in service on the date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Resulting Company without any break or interruption in their service with all the benefits in terms of the Scheme.

(vii) The Resulting Company do without further application pay the considerations as follows,

> *"The Resulting Company shall issue and allot 100 (One Hundred Only) equity shares of the Resulting Company of Rs.100/- (One Hundred Only) each to the equity shareholders of the Demerged company in proportion to their respective shareholding proportions as of the record date designated by the Board of the Demerged Company."*

(viii) That the Resulting Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Resulting Company after setting off the fees paid by the Demerged Company.

(ix) That both the Petitioner Companies, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration. The Registrar of Companies shall place all documents relating to the Demerged Company registered with him on the file kept by him in relation to all the Resulting Company and the files relating to all the said companies shall be consolidated accordingly.

(x) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

14. Accordingly, the Company Petition stands **allowed** on the aforementioned terms and is disposed off.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

SANJIV JAIN
MEMBER (JUDICIAL)

Order pronounced under Rule 151 of NCLT Rules 2016, by ***Hon'ble Judicial Member Sanjiv Jain*** *on behalf of the Bench comprising of* ***Sanjiv Jain, Member (Judicial) and Sameer Kakar, Member (Technical).***

M. Nallusheeaym
Court officer.